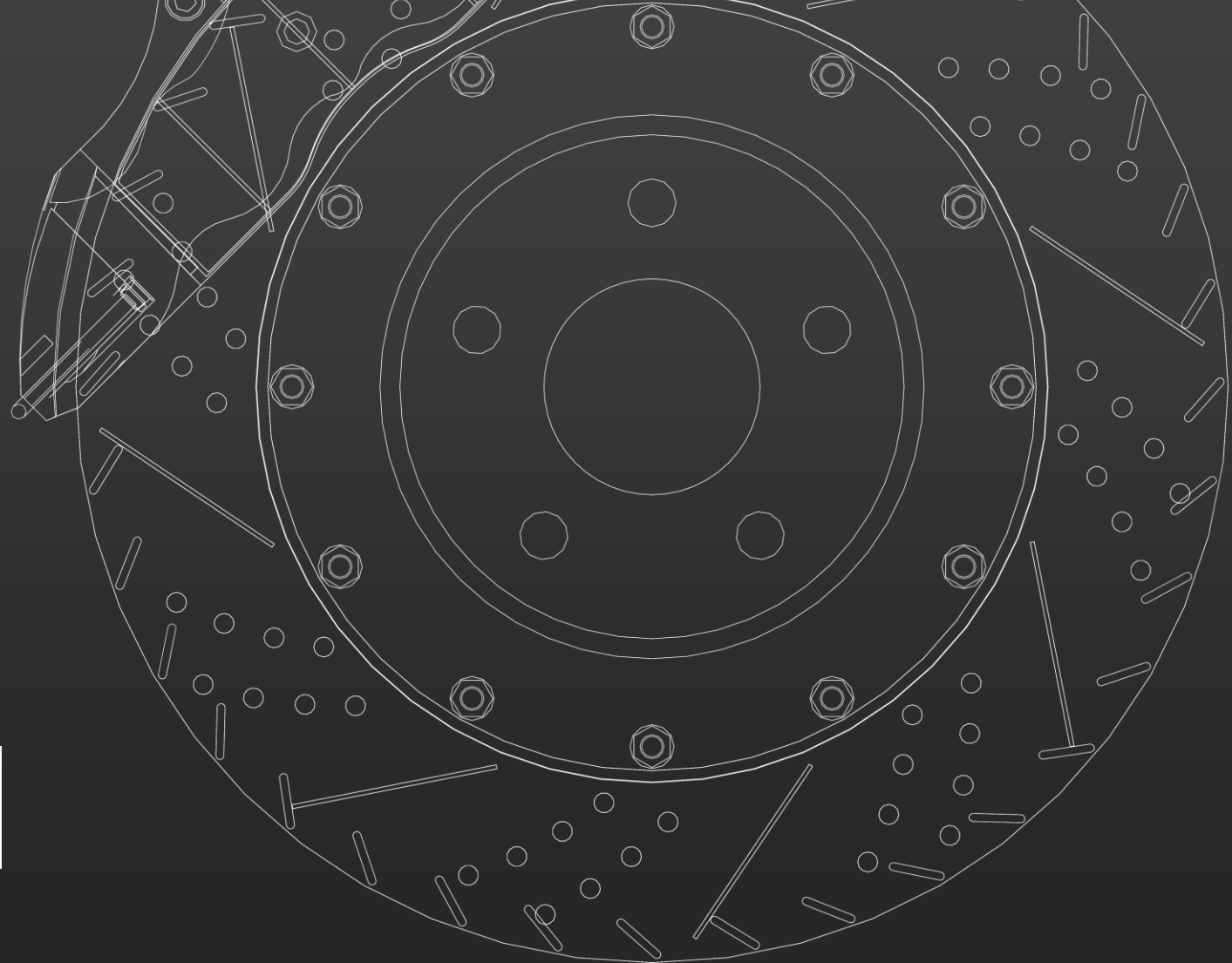




Proposal

Preparation of Solution Blueprint and Implementation for **Operations and Supply Chain Excellence** For Lenexis Foodworks

Created By Vector Consulting Group – 19th Aug 2024 R1

Contents

1. Background
2. Scope
3. Deliverables for Phase 1 – Solution Blueprint
4. Vector's Proposal for Phase 1
5. Deliverables for Phase 2 – Implementation
6. Vector's Proposal for Phase 2
7. Consulting Fees and Commercial Terms for Phase 2

1 | Background

Vector Consulting Group (Vector) conducted a dip stick study of the Operations and Supply Chain processes at Lenexis Foodworks (Lenexis). The objective of the study was to arrive at a high level direction of solution to achieve significant improvement in customer delivery lead time (% of orders delivered in 30 min / ready to dispatch within 15 min) and ensuring ~100% availability of material while holding lesser than current inventory, thus enabling 2X – 3X growth in kitchens with same investment. The initial finding of the study was presented to the senior management of Lenexis on 29th July 2024 (Step1). After due evaluation of the analysis and the direction of solution, Lenexis management requested Vector to submit a proposal to conduct detailed diagnostics of business for both Operations and Supply Chain Management. Post the detailed diagnostic Vector would prepare a solution and implementation blueprint (Step2), and conduct a 2 days **Solution and Implementation Consensus Workshop** with the Top and Senior management to discuss the blueprint.

2 | Scope

The detailed diagnostics will cover kitchen operations and end-to-end supply chain.

1. Planning and Operations management i.e. Order receipt to dispatch readiness across kitchens.
2. Planning and execution of procurement and distribution till kitchens.
3. Inventory management processes across the supply chain i.e. vendors, warehouses, and kitchens.
4. Assess existing data discipline and usage of ERP for material management processes.

The proposal below includes two phases viz. Phase 1 – Solution blueprinting and implementation consensus and Phase 2 – Preparation and implementation of agreed processes as per solution blueprinting.

3 | Deliverable of Phase 1 – Solution Blueprint

Duration of Phase 1 of engagement - 4 weeks.

1. **The Blueprint:** The solution blueprint will contain detailed analysis, solution details, critical implementation checks and business impact.
2. The 2 days Solution and implementation Consensus session with the top and senior management, and key functional managers to achieve their buy-in on the Blueprint. it will be conducted at the end of the 4-week period.

3A | Vector's Blueprint Methodology

1. **Study** - Detailed study on current systems and processes
 - Stakeholder interviews, across functions, for hypothesis generation
 - Data analysis for validation of hypothesis and identifying potential
 - Process walkthroughs and GEMBA at Kitchens
 - Validation interviews
2. **Diagnosis** - Vector practices holistic, cause & effect based, thinking process. The basis is that what we see around us are symptoms and not the causes. All the data and facts collected during the study will be subjected to a logical "Cause and Effect" framework to arrive at the few root causes that give rise to the many undesirable effects observed.
3. **Solutioning** - Vector will detail out the broad solution elements to convert them into implementable SOPs and decision making templates.
4. **Blueprint** - Based on the direction of solution adopted, the blueprint will be prepared. It will detail out the objective-strategies-tactics-the SOPs in each department-the logic of change for each of the SOPs in each department. The sequence of implementation will be laid out such that the gains are maximised and transition risks are minimized.

The blueprint will answer following questions at every layer of management structure, and every department / section that is required to make changes,

- What is the real problem? And What is potential of system?

- What is the outcome one wants to achieve by solving the problem?
- What are the tactical steps required to be implemented to achieve the stated objective?
- What is the reasoning claimed for validity of the tactical steps?

Vector will address the changes required to implement the solution -

- The current performance and the change required to achieve the target (vis-a-vis the potential).
- The new processes, SOPs, review mechanisms, roles and responsibilities, and KPIs across departments
- Assess these against the existing KPIs to decide which need to be retained, discontinued or modified and which need to be added

3B | **2-day Solution and Implementation Consensus Workshop**

A 2-day **Solution and Implementation Consensus Workshop** to present and discuss the findings and the solution blueprint. During the workshop, detailed solution elements will be presented to the top and senior management to achieve their buy-in. The implementation plan is agreed at the end of this session. This session allows all the participants to clear all their reservations and seek clarifications.

At the end of the session, Lenexis management team should feel confident about:

- the solution framework presented, that will enable the company to achieve the goals of the project; and
- the 'implementable' blueprint for deploying the solution with all departments

The deliverable of this session are -

- A view of the quantum improvements in operational and financial performance
- A deeper understanding of the Vector's solution. The model will be drilled down to the new processes, measurements and enablers in each department. All the changes required will be presented and discussed.
- The session allows all participants to raise their reservations, disagreements and seek clarifications. Vector will ensure the buy-in.
- Understand the sequential steps required to implement the solution components in detail.
- Develop an implementation plan in terms of tasks, timelines and responsibilities along with Roadmap of results with estimated timelines.

The blueprint prepared, along with analysis and calculations, for the 2-day session and the implementation plan will be submitted as a deliverable document.

3C | **Process Coverage**

The kitchen operations processes and supply chain to manage ~100% availability of material at lower inventory.

- a. Availability: Operations and Supply Chain, i.e. procurement and distribution to kitchen, to ensure ~ 100% availability at much lower total inventory across supply chain.
- b. Network Design: Design the network of warehouses (E.g. Supplier Stocking, Central Warehouses, Kitchen etc.) and stock-buffer points along with logistical SOPs.
- c. Kitchen Operations Management:
 - i. Effective utilization of the burners:
 - Defining and ensuring full-kit of material
 - Managing availability of cooking consumables
 - Division of labour to improve the efficiency
 - Need to store capacity available during off-peak periods.
 - ii. Order Queue management for faster deliveries
 - Ensure real time display of orders waiting for each of the cook.
 - Logic of order assignment to cooks
 - Create automatic batching of the orders of same item in a defined window
 - iii. Change rostering to ensure availability of adequate cooks during peak time.
- d. Supply Chain Management:
 - i. Managing distribution (stock-transfer order release and priority) to ensure availability at warehouses and kitchens
 - Deciding on the correct SKU wise initial inventory level at each warehouse and kitchen
 - Managing the replenishment system to ensure continuous availability as per actual consumption.
 - Rationing logic for allocation of material in the warehouse to various kitchens (Buffer Management)
 - Monitoring stocks – Buffer Management, Priority system
 - Dynamic Buffer Management to change the stock levels to accommodate changes in demand and correct the initially defined stock level.

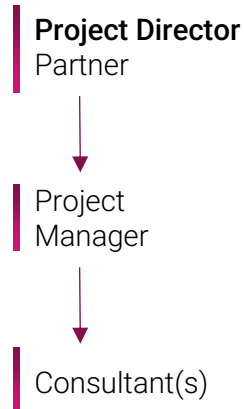
- Build SOPs for managing seasonality and promotions – adjustment of norms, build up and waning down of stocks, logistical changes
 - Build SOPs for phase in phase out of SKUs and introduction of new SKUs.
- ii. Managing procurement to ensure availability at warehouses
- Deciding on the correct SKU wise initial inventory level at each storage point
 - Managing the replenishment system to ensure continuous availability as per actual consumption.
 - Monitoring stocks – Buffer Management, Priority system
 - Dynamic Buffer Management to change the stock levels to accommodate changes in demand and correct the initially defined stock level.
 - Build SOPs for managing OEM schedules and seasonality – adjustment of norms, build up and waning down of stocks.
 - Build SOPs for phase in phase out of SKUs and introduction of new SKUs.
- iii. Aligning procurement from suppliers
- New processes to manage replenishment with suppliers, assist procurement team to satisfy fluctuating requirements
 - Material procurement model, Daily ordering mechanism, Priority system for ordering
 - Stocking at suppliers and VMI working to ensure availability at Lenexis warehouses with lower inventory
 - Dealing with constraining suppliers

3D | Implementation Road-map

- Sequence of activities and their potential impact
- Assess the impact on availability, inventory, interest and sales
- Discussion on capex for the future

4 | Vector's Proposal for Phase 1

4A | Vector's Project structure



4B | Commercial Terms

1. The total consulting fee for the engagement is **INR 24 Lacs 20 Lac/-**. The fee is exclusive of all taxes, duties, any other Govt. levies and expenses of the consultants, which will be extra at actual.
2. Invoice for the fees will be raised as follows
 - 50% of fee at the start of the engagement
 - Balance 50% on 2nd day of 2-day session
3. Lenexis will make payments within seven days of receipt of invoice in favour of 'Vector Management Consulting Pvt. Ltd'.
4. Lenexis will provide for travel, local conveyance, lodging and boarding for all visits by Vector employees required for the project. Lenexis will provide for air travel and local conveyance to reach the airport in the city of boarding and all local conveyance in city of work. The standard of boarding & lodging will be the standard of a 4 star or above rating hotel. Vector consultants will travel to their base location every week.

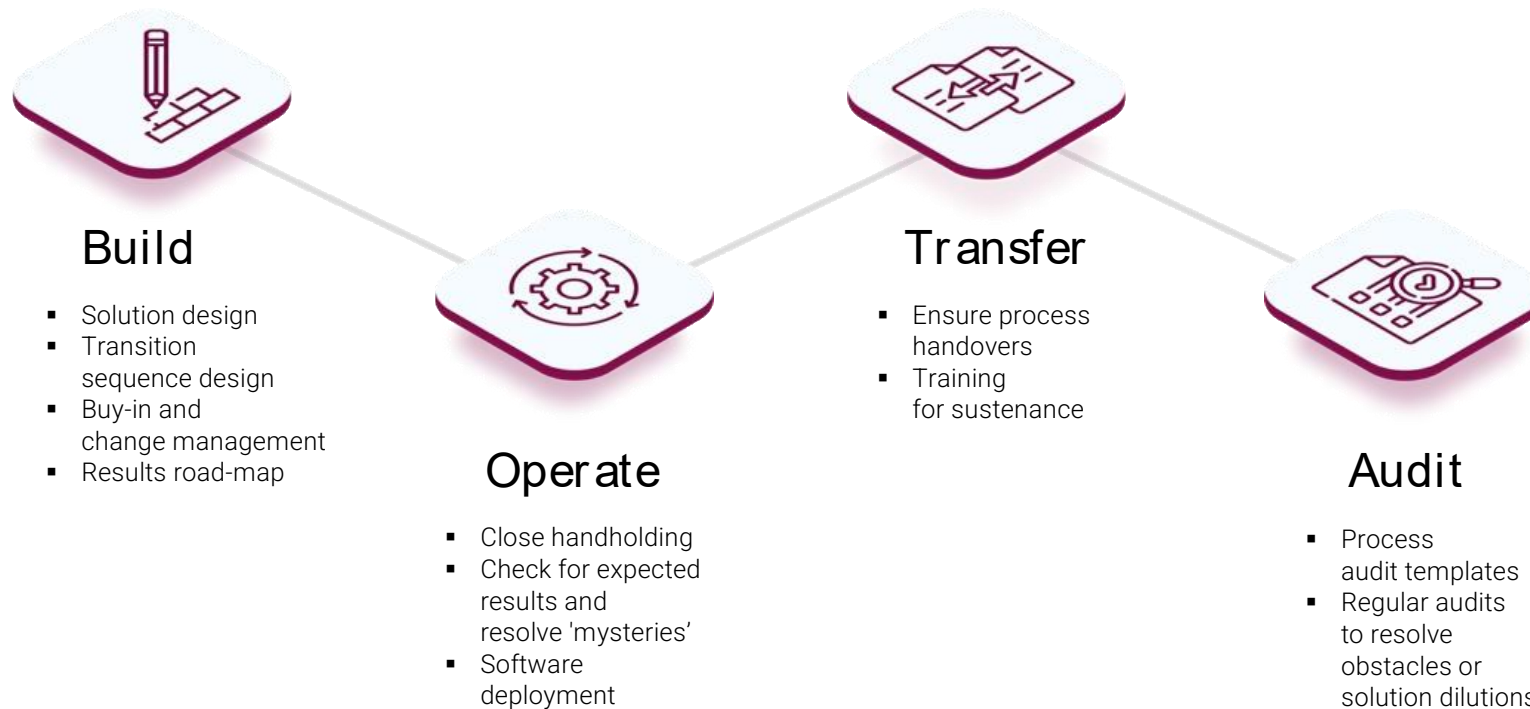
5 | Deliverable for Phase 2 – Implementation, Software Tool and Deployment Methodology

5A | Deliverables

1. Vector will further detail out the solution blueprint and assist in the implementation of solution in all functions and across all layers of the organization.
2. A team led by an experienced business transformation consultant will facilitate the implementation. They are considered the most experienced business transformation specialists in India.
3. As required and allowed by the functionalities of the prevalent ERP / other software at Lenexis, Vector will facilitate the implementation of the new processes and reports in procurement, distribution and kitchen operations in the ERP system. Vector will provide the required functional specifications.
4. Vector will help in implementation of all solution components with following tactics:
 - Since each of the steps are paradigm shifts from current style of management, Vector will focus on buy-in; detailed transactional process definition for each solution, continuous handholding to make transition to new processes; auditing and training to ensure the desired processes and enabling behaviours are in place.
 - The buy-in is required at two levels - one at the senior management level to get the new changes accepted and the other is at the operational level to get the SOPs accepted and deployed
 - Vector Consultants will hand hold till the team can take over the new SOPs successfully.
 - Vector's team will be onsite / offsite based on the work involved.
5. Vector will deploy the software tool VectorFLOW and assist in its implementation.
6. The HODs / departmental champions will be trained to lead the implementation in their area.
7. Vector will provide the templates for the key management dashboards required for effective analysis and decision support.
8. For the obstacles and issues identified, Vector will work with the team to identify the solutions, get buy-in for implementation

5B | Methodology

Each solution steps agreed during the buy-in session will be implemented with close handholding. The implementation methodology adopted by Vector is as follows -



Since each of the solution elements involve paradigm shifts from current style of management, Vector will focus on buy-in; continuous handholding; auditing and training to ensure the desired behaviours are in place. The buy-in is required at two levels - one at the senior management level to get the new changes accepted (achieved in **Solution and Implementation Consensus Workshop**) and one at the operational level to get the SOPs accepted.

Vector's approach is '**whatever it takes**' to get the changes implemented - close handholding, repeated training, frequent reviews, modify tools etc.

Before the start of implementation, all execution teams in every department are taken through the logic of the solution and the SOPs are developed in detail. The HODs will be trained to lead the implementation in their department.

5C | Solution Deployment

Since each of the solution steps are paradigm shifts from current style of management, Vector will focus on buy-in; continuous handholding; auditing and training to ensure the desired behaviours are in place.

Vector will help in defining roles / responsibilities and measures aligned to new solution paradigm.

(1) Establish Flow Meetings: Vector will assist the senior management to conduct the reviews for the new system and outline the right questions to be asked.

- Daily flow meetings: Flow meetings are held daily to enable proper decision making based on 'Buffer Penetration Report', 'Order Processing Report', issue resolution, removal of obstacles, and thereby creating desired outcome.
- Weekly flow monitoring: The HODs will review trend based MIS, e.g. Trend Graph, Trend Report, to identify the recurring obstacles to flow of material. A weekly cross-functional meeting chaired by an empowered person to resolve open issues between functions.
- Monthly SnOP meetings: Before start of the new campaign, scheme, promotion in market or start of season, it is ensured that all departments are aligned to the changes in volumes. This ensures availability of material at each stage in supply chain.
- Training of managers to ensure sustenance of the new processes and the thinking even after the consultants have left the site.

(2) Supplier On-boarding: Vector will construct the details of the supplier offer to mitigate risks and ensuring benefits (to both supplier and Lenexis) in order for the suppliers to accept the replenishment system.

- Vector will train the procurement team to 'Sell' the offer to suppliers, which is different than any conventional discussion.
- Vector will create a tailored, powerful sales pitch for Lenexis to ensure ~100% success rate for onboarding suppliers in new process.
- Vector will guide the procurement team on the mechanisms to effectively control the number of suppliers being activated to avoid rework thereby reducing implementation lead time.

(3) Sustaining the performance: Vector's team will be at the site of work for most of the time to ensure buy-in and close handholding during the transition to the new processes.

- For the obstacles and issues identified, Vector will work with the team to identify the solutions, get buy-in and help to implement.
- Vector will train the required managers / officers in all aspects of the solution that is necessary for a successful implementation and the sustenance for the long term.
- Vector will also assist in defining the new KRAs and the new roles in the organisation.
- Vector Consultants will hand hold till the team can take over the new SOPs successfully.

(4) Preventing Deterioration: Preventing deterioration of the system built to achieve high availability and reliable delivery performance consistently

- Process of doing Flow Diagnostics and identifying areas of improvements
- Ensure sustenance of the standard operating procedures implemented
- Develop an early warning system to anticipate stockouts, delays and capacity shortages
- Institutionalize the Vector's way of thinking in management decision making

(5) Institutionalise Processes: Through new measurements and roles

- Roles, Responsibilities and Enabling Structure
- MIS for all levels of management, measurements for each function in the new system
- Top Management Review Process, develop an early warning system to anticipate stockouts, delays and capacity shortages
- Creation of Internal Champions

5D | **Vector's Software Tool**

Vector will provide and help in implementation of its proprietary software tools to manage the planning, procurement, distribution, and logistics execution. Vector's IT team will ensure that Software is customized, deployed and stabilized according to the solution design agreed in Phase 1 i.e. **Solution and Implementation Consensus Workshop**.

- It is provided for lifetime use, unlimited users within the scope of this engagement
- Vector will assist in its implementation and customisation as required (limited to the solution deployed)
- Vector will also assist in defining specifications for integration of VectorFLOW with Lenexis' IT Systems. Vector will guide the teams to provide input data for VectorFLOW and consume the output reports from VectorFLOW, wherever permissible.
- Vector will train managers to use the tool

6 | Vector's Proposal for Phase 2

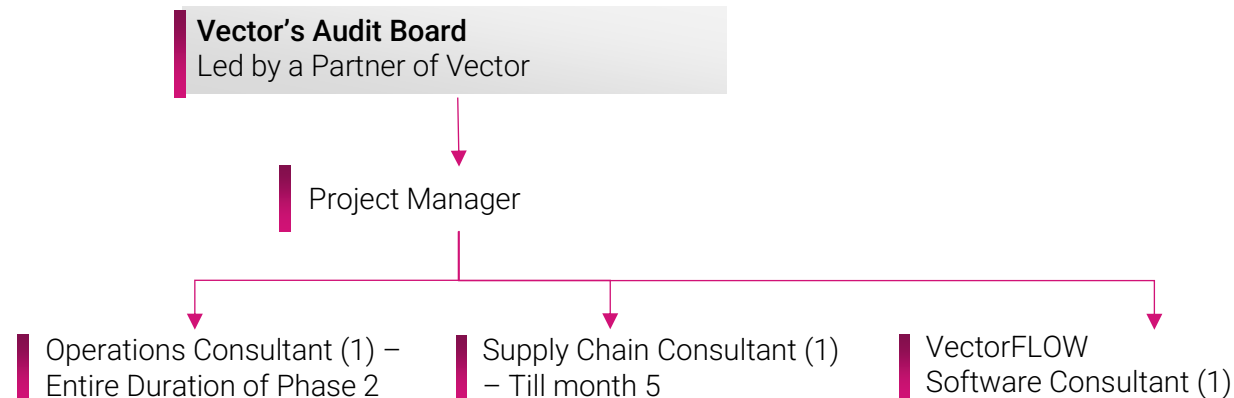
6A | Project Duration

Duration of the engagement for implementation is **9 months (M2 to M10)**, with Lenexis having the option to terminate in any month. During the 9 month period, the Supply Chain related work will complete. For Kitchen Operations, each Kitchen rollout will be a small project in itself, hence, all kitchens may not get covered in 9 months. During this time, majority of obstacles and issues observed across Kitchens will be resolved and SOPs for further rollouts will be finalised. Lenexis will decide on the extension and its nature at end of 9 months. Tentative time-line for various milestones is as follows,

Sr No	Phase	Area of Work	Milestone	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10
1	Phase 1	Supply Chain & Operations	Study and Preparation of Solution Blueprint										
1	Phase 2	Supply Chain	IT Readiness (Lenexis ERP & VectorFLOW)										
2		Supply Chain	Distribution Network Re-Design										
3		Supply Chain	Auto-Replenishment to Kitchens										
4		Supply Chain	Align procurement to actual demand										
5		Supply Chain	Align suppliers for replenishment										
6		Operations	Order Queue Management Software Development										
7		Operations	SOP Deployment for Effective Burner Utilization				5	5	10	10	10	10	10
8		Operations	Roster management to ensure chef availability				5	5	10	10	10	10	10
9		Operations	Deployment of Order Queue Management				5	5	10	10	10	10	10
10		Operations	Obstacles & issue resolution to ensure kitchen OTIF										

6B | Vector's project team structure

A team led by an experienced business transformation consultant will facilitate the implementation. They are considered the most experienced business transformation specialists in India for operations and supply chain management.



- Deployment of consultants to the project will be phase wise. A consultant will be added during the overlapping phase between Supply Chain and Operations rollout.
- In addition to the above team, Vector may be add consultants to manage peak load of implementation.
- Some process deployment may involve online / in-person interaction of teams spread across multiple locations (Ex. flow meetings in different Kitchens, Procurement, Engineering, Planning, etc.).
- After the initial handholding on-site, depending on the maturity of the acceptance by the Lenexis' team, some processes may be monitored online instead of on-site.

6C | Roles of Vector's team

Audit Board

- Lead the designing of the solution in various functional areas
- Frequently audit the solution design and results road map
- Lead steering committee
- Engage with key stakeholders
- Ensure speed of implementation
- Conduct field on site audit with key stake holders of Lenexis, on need basis

Project Manager

- Detailing of solution in each area.
- Lead the implementation
- Conduct buy-in sessions during implementation e.g. ramp up workshops
- Ensure tasks are implemented at fastest pace
- Manage issue resolution (buy-in issues or other obstacles)
- Conduct reviews with top management every week, and month

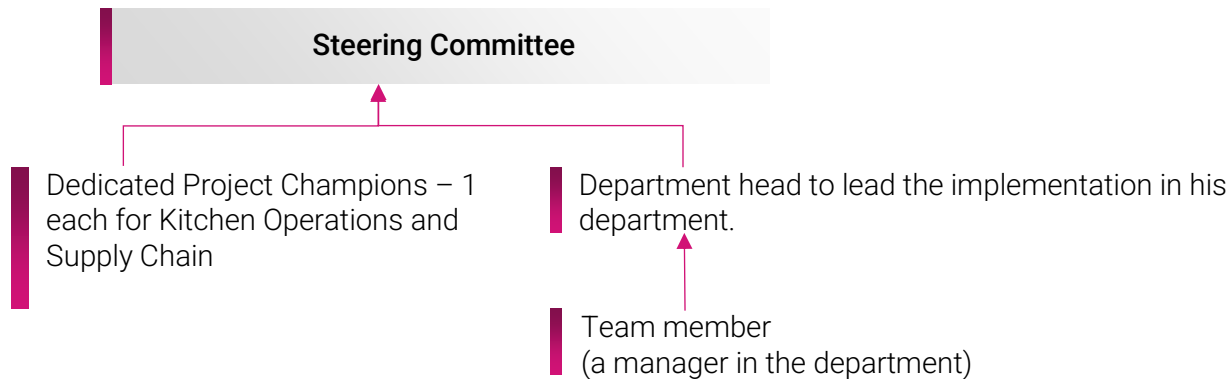
Consultants

- Close handhold for task deployment
- Conduct group training sessions during implementation
- Assist in deployment of the software tools

Software Consultants

- Lead the deployment of the software tools and any integration required.
- Work alongside IT team of Lenexis to get the tool implemented.

6D | Lenexis' project organization



6E | Roles of the Lenexis' implementation team

Steering Committee: Championed by TOP management team

- Audit the progress of the project's major tasks
- Resolve implementation obstacles asap

Project Manager: Department head will be project manager for driving the implementation in his department

- Audit the progress of the project's major tasks planned in the week gone by
- Resolve implementation obstacles asap
- Drive compliance to SOP, Resolve implementation issues / obstacles
- Plan the next steps of implementation with guidance of Vector

Dedicated Implementation Champion(s)

- He is a senior person who has been in the organization at least for more than 2 years.
- He commands respect amongst all departments.

- He will be trained by Vector, and work with Vector. The objective is to make him as capable as Vector's project manager in terms of the solution, its logic and need for the new SOPs.
- He will be part of all discussion that resolve the obstacles to implementation.
- He acts as the guardian of the system when Vector leaves the site. This is critical for sustenance of the new model. He assists in change management in all departments.

Team Members

- They are designated managers in each department who will assist in the implementation. The implementation is led by the department head. He has the responsibility for the implementation not the team members.
- Assist Champion in change management role.
- Internal coaches for institutionalizing/sustaining the SOP.

6F | Change Management Process

Steering Committee Meeting: Once a fortnight for the first 3 months, later once a month

Championed by Top Management Team

- Audit the progress of the project's major tasks
- Resolve implementation obstacles asap

Vector will release a weekly report containing

- Areas of concern
- Tasks in hand and their elapsed times
- The obstacles observed for the longer elapse time, actions needed
- Plan for the next week.

This weekly report will be reviewed with project manager (department head) every week, fixed day, fixed time by the implementation champions.

7 | Consulting Fees & Commercial Terms for Phase 2

The Consulting Fee will have two parts: Fixed fee and Variable fee.

The fixed fee does not cover the full costs of Vector's team deployed on the project. Vector will cover its balance costs and make profits from ensuring the completion of implementation milestones and variable fee earned from delivering the higher level of operational performance. Thus, Vector is ensuring its commitment to the objectives of Lenexis by linking a major portion of the fees to achievement of benefits to the business.

7A | Fixed Fee

- The Fixed fee also **includes the provision of the software module VectorFLOW**. The Fixed Fee includes the assistance in installation, implementation and the maintenance support for the period of engagement. The tool is provided for unlimited users for business areas within the scope of this proposal.
- Fixed fee is payable for the period of engagement with Vector. **Fixed fee is Rs. ~~30 Lacs~~ 20 Lacs per month for the duration of the engagement.** The fee is exclusive of GST and travel & stay expenses of the consulting team deployed.

For the proposed scope, the duration of the engagement for implementation is **9 months**, with Lenexis having the option to terminate in any month. The terms and conditions for the same are as mentioned in Clause 7.7D.6 of this proposal.

7B | Variable Fee

The variable fee distribution and pay-out structure will be detailed after the (Solution Blueprint) Phase 1 is over i.e. when the details of the impact is understood by Vector and Lenexis.

The variable fee linked to improvement in performance / gains over a baseline, and is a sharing of the gains. This fee is only payable when the gains accrue, and should not be viewed as a cost or an expense. Baseline will be agreed after analysis of past performance.

Variable fee will be linked to following parameters:

1. **Reduction in Days of Inventory across supply chain**
2. **OTIF % of order completion within 15 min at kitchens**

3. Demonstrated Cost savings

Variable fees will be capped at Rs. ~~150 Lacs~~ **70 Lac** for the proposed engagement. The evaluation of variable fees will start from 6th month from start of Phase 2 of engagement and continue for 9 months. Lenexis will nominate a single point of contact to finalize the baseline and timely disbursement of Variable Fee at the end of each evaluation period.

Give the structure of the variable fee for each parameter. These will be finalised mutually.

Otif- slabs.

Inventory value sharing- what % of variable fee, per quarter 0.35% for each quarter.

Cost savings.- 20% of the cost savings

The comparison of commercial terms and fees in original and revised proposal is summarised in table below, **this table to be removed. Put it in mail body**

Sr. No.	Parameter	Original Proposal	Revised Proposal
1	Scope	Operations & Supply Chain Management	Operations & Supply Chain Management
Solution Blueprint Preparation			
2	Duration	1 Month	1 Month
3	One Time Fees	24 Lac	20 Lac
4	Payment Terms	50% of fee at the start of the engagement - Balance 50% on 2nd day of 2-day session	50% of fee at the start of the engagement - Balance 50% on 2nd day of 2-day session
Implementation Engagement			
5	Scope	Operations & Supply Chain Management	Operations & Supply Chain Management
6	Duration	9 Months	9 Months
7	Fixed Fees	Rs. 30 Lac per month Total = 30 x 9 = 270 Lac	Rs. 20 Lac per month Total = 20 x 9 = 180 Lac

8	VectorFLOW	Yes (Included in Fixed Fee)	Yes (Included in Fixed Fee)
9	Variable Fees	Cap Rs. 150 Lac	Cap Rs. 70 Lac
10	Variable Fees Parameters	- Reduction in Days of Inventory across supply chain - OTIF % of order completion within 15 min at kitchens - Demonstrated cost savings	- Reduction in Days of Inventory across supply chain - OTIF % of order completion within 15 min at kitchens - Demonstrated cost savings
	Total Fees	Rs. 270 + 150 = 420 Lac	Rs. 180 + 70 = 250 Lac

The parameters and baseline will be mutually agreed within 2nd month of Phase 2 of the engagement. The variable parameters, their baselining, methodology of evaluation w.r.t. agreed baseline and periods of variable pay will be documented in “addendum” to the engagement contract. If time taken to freeze the parameters and baseline goes beyond 2 months, then 50% of the total Variable Fee limit (50% of Rs. 70 Lacs = INR 35 Lacs) will be paid monthly on a prorate basis until the agreement is reached.

E.g. If parameters and baseline are not frozen even by M3 (i.e. 2nd month of implementation engagement – Phase 2), then Variable Fee payable from M4 onwards will be Rs. 35 / 7 = Rs. 5 Lacs per month.

Once the parameters and baseline are frozen, then the Variable Fee will be evaluated as agreed. Any prorate payment, mentioned above, against Variable Fees will be adjusted in the subsequent months against the total fee payable (Fixed + Variable).

The overall time-line -

Sr No	Milestone	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11	M12	M13	M14	M15
1	Phase 1															
2	Fees for Phase 1															
3	Phase 2															
4	Fixed Fees															
5	Variable Fees															

7C | Terms of Software Usage

1. VectorFLOW Licence is provided free of cost for unlimited users and for lifetime for the scope of this engagement. The cost of any additional hardware or software required to install VectorFLOW will be borne by Lenexis.
2. Maintenance of the software for period of engagement, during fixed fee period of engagement, is part of the consulting fees. (Please note that VectorFLOW tool is provided for unlimited period, unlimited users, within the scope of the engagement).
 - a. Lenexis has the option of continuing to use the tool, without any support and maintenance contract, in such a case, Vector will not provide any support for any instance.
 - b. If Lenexis wishes, it can opt for annual maintenance services with Vector and enter into a separate Annual Maintenance Contract (AMC) for software support and maintenance. The fee for such an engagement will start from INR 2.5 Lakhs per month, depending on level of support required.
3. Customization in VectorFLOW as part of the solution design, work required within VectorFLOW for integration with data sources line Lenexis' ERP and reverse integration with ERP is part of the consulting fees. However, if any additional customizations are desired by Lenexis, which are specific to their requirement, will be evaluated by Vector based on Vector's Thinking Process (VTP) framework.
 - a. Developments outside VTP framework will not be done in VectorFLOW.
 - b. Developments within VTP framework will be done at additional costs of Rs. 75,000 per man-day. Vector will submit a detailed development proposal to Lenexis' for the approval.
 - c. Any other developments in software of Lenexis for integrating VectorFLOW are outside the scope, and will be managed by Lenexis.
4. The consulting fees do not include the cost of any system software or hardware systems required to support the VectorFLOW software. Cost of any such software and hardware required / implemented will be borne by Lenexis.
5. As the software tools provided are an integral part of the fee structure for Lenexis, it cannot be used in business other than within the agreed scope of this proposal in Lenexis. Any additional requirements will be have to be procured from Vector separately with separate terms.

6. The VectorFLOW software will be used for the Supply Chain Planning, Procurement and Distribution. For the Operations Management in Kitchen, it is assumed that Lenexis has an order management system. Vector will provide the logic to manage ordering queue for chefs along with any additional changes required for the solution design. Lenexis may configure their existing software or develop new software for the same. If Lenexis intends, Vector will take up the development at Vector Digital Labs at additional cost of Rs. 75,000 per man-day.

7D | Commercial Terms

1. All fees/ charges mention in this contract are exclusive of all taxes, duties and any other Government levies, which will be extra at actual.
2. For the Variable Fees, the invoices will be raised as and when the conditions confirming the achievement of the benefits (schedule) are satisfied. The invoices, if applicable, will be raised at the beginning of the next month.
3. Invoices for fixed fee will be raised by Vector at the beginning of every month, and payment will be released within 7 days of receipt of invoices. Any dispute with the fixed fee invoices should be relayed to Vector within 7 days of receiving the invoice, else it will be deemed accepted. Receipt of invoice by Lenexis, in soft copy through mail or as a physical printed copy is deemed as received.
4. All cheques / DDs will be released in favour of 'Vector Management Consulting Pvt Ltd.'
5. Lenexis will provide for travel, local conveyance, lodging and boarding for all visits by Vector employees required for the project. Lenexis will provide for air travel and local conveyance to reach the airport in the city of boarding and all local conveyance in city of work. For such employees based in the city of work, Lenexis will either arrange for local travel or provide for all expenses of local travel. The standard of boarding & lodging will be in the quality of a 4 star or above hotel. Vector consultants will travel to their base location every week.

6. Termination

Lenexis may terminate this Agreement upon thirty (30) days written notice without assigning any reason. The terms of such termination are as follows,

- a. If Lenexis terminates the engagement within 3 months from start of engagement, and forfeits the use of VectorFLOW, the fee payable is only the fixed fees till the date of termination plus the 30 days of notice period.
- b. If the termination is any time from the 4th month onwards,
 - i. Vector will be paid the fixed fees for all months till the date of termination plus 30 days; and

- ii. Vector will be paid variable fee according to clause 5B for a period of 6 months from the end of the engagement or the term of variable fee whichever is earlier.
- iii. The payment for the Variable Fee will be as follows: The average performance of the three months prior to the termination notice will be used as a basis for calculating the variable fee for the applicable period and paid as one lumpsum amount (fee for the average performance x number of months applicable).

7E | General Conditions and Limitation of Liability

1. As no change or new SOP will be implemented without the consent of the Lenexis' Management, Vector accepts no responsibility for any special or consequential losses, damages, stoppages, or any other costs whether of a direct or indirect nature for whatsoever reason or cause, which may arise from the work, performed in accordance with a contract from this proposal.

Vector shall use in its marketing, the reference of the engagement. As soon as the agreement is signed and released, Vector can declare the engagement in the public domain. To publish a case study or the results achieved in the project, Vector shall take prior approval from Lenexis.

2. Extension of the term: If required, Lenexis can extend the engagement on mutually agreed terms.
3. Non-Disclosure will be as per the 'Confidentiality Agreement' signed between Vector and Lenexis.



www.vectorconsulting.in



vcg@vectorconsulting.in

